

POLAR RETAIL MANAGEMENT AND PROFIT-SHARING AGREEMENT

This Polar Retail Management and Profit-Sharing Agreement ("Agreement") is entered into between **Douglas Innovation LLC** ("Douglas Innovation") and **Generative Systems LLC** ("Generative Systems"), collectively the "Parties."

Effective Date: October 1, 2026
Expiration Date: December 31, 2026

The purpose of this Agreement is to establish an arrangement under which Generative Systems will manage certain retail operations of the **Polar Filament** brand, primarily through **PolarFilament.com and its Shopify storefront**, in exchange for fifty percent (50%) of the Net Profit generated by those operations, as defined below.

The Parties acknowledge that this is an initial arrangement and expect that its terms may be revised, expanded, renewed, or replaced based upon their experience during the initial term.

1. Definitions and Business Structure

1.1 Douglas Innovation

Douglas Innovation owns and operates the Polar Filament business and performs manufacturing, fulfillment, and other business activities associated with Polar Filament.

1.2 Polar Retail

For purposes of this Agreement, "**Polar Retail**" is the term used by the Parties for the retail operation covered by this Agreement. It primarily consists of the PolarFilament.com Shopify storefront and the associated digital retail activities described herein.

Polar Retail is not a separate legal entity, and the use of this term does not grant Generative Systems any ownership interest in Polar Filament or Douglas Innovation.

1.3 Polar Manufacturing

The Parties may use "**Polar Manufacturing**" to distinguish Douglas Innovation's filament manufacturing and non-retail activities from Polar Retail.

Polar Manufacturing remains under the control of Douglas Innovation and is outside the scope of this Agreement except where specifically stated.

2. Relationship of the Parties

Generative Systems is an independent contractor providing management and related services to Douglas Innovation.

Nothing in this Agreement creates a legal partnership, joint venture, employment relationship, ownership interest, equity interest, franchise, or other ownership right in Douglas Innovation, Polar Filament, or any associated brand, property, or business.

The Parties' use of a 50/50 profit-sharing arrangement is solely a method of calculating compensation and shall not be interpreted as creating a partnership or ownership interest.

Neither Party has authority to bind the other Party to contracts, debts, liabilities, or other obligations except to the extent expressly authorized by this Agreement or separately authorized in writing.

3. Core Responsibilities of Generative Systems

Generative Systems will be responsible for the day-to-day digital management of Polar Retail.

These **Core Responsibilities** include, but are not limited to:

- Managing the PolarFilament.com Shopify storefront;
- Maintaining accurate and current product listings, descriptions, pricing, and other retail information;
- Maintaining and improving the layout and presentation of the retail website;
- Managing retail prices, discounts, promotions, and sales;
- Managing the Polar Filament customer-service phone;
- Responding to Polar Retail customer-service emails;
- Providing customer service through the Polar Filament Discord server;
- Responding to general customer questions, troubleshooting requests, and support inquiries;
- Determining and approving appropriate refunds, returns, and exchanges;
- Coordinating approved returns and exchanges with Douglas Innovation for physical fulfillment;
- Developing and running advertising campaigns, subject to the spending-approval requirements of this Agreement;
- Producing and maintaining product photography;
- Producing promotional photography and other digital promotional materials, including, where appropriate, printing example objects using Polar Filament products for promotional purposes; and
- Generally managing the digital retail operations reasonably associated with the PolarFilament.com Shopify business.

Generative Systems will have substantial day-to-day discretion in carrying out these responsibilities except where this Agreement specifically reserves a decision to Douglas Innovation.

4. Operational Authority

4.1 Pricing, Sales, Refunds, and Exchanges

Generative Systems is authorized to make ordinary Polar Retail operational decisions without obtaining individual approval from Douglas Innovation, including:

- Setting and modifying retail prices;
- Running sales and promotions;
- Determining whether customer refunds or exchanges are appropriate;
- Issuing or approving refunds and exchanges; and
- Making ordinary merchandising decisions involving products already approved for sale.

The Parties acknowledge that these decisions directly affect Net Profit and therefore Generative Systems' own compensation.

4.2 Product Lineup

Douglas Innovation retains final authority over which products, materials, colors, sizes, and other product variations are added to or removed from the Polar Filament product lineup.

Generative Systems is encouraged to recommend new products, colors, materials, or product changes, and the Parties intend to discuss such recommendations in good faith.

However, no new product or variation may be added to the product lineup without approval from Douglas Innovation.

Douglas Innovation retains the right to approve or reject any proposed product addition or removal, including for manufacturing capacity, inventory, storage, operational, financial, or other business considerations.

5. Expenses and Spending Authority

Generative Systems does **not** have independent authority to incur expenses on behalf of Douglas Innovation.

Any expense that Generative Systems wishes to have paid by Douglas Innovation or treated as an Additional Expense in the Net Profit calculation must receive **prior written approval**, regardless of amount.

Written approval may include email or another written communication agreed upon by the Parties.

Approved Additional Expenses may include, for example:

- Advertising;
- Travel;
- Trade shows and conventions;
- Marketing services;
- Photography-related services;
- Promotional services; or
- Other mutually approved operating expenses directly related to Polar Retail.

Approval may apply to an individual expense or to a defined recurring budget. For example, Douglas Innovation may approve a specified monthly advertising budget for multiple months. Expenses incurred within that previously approved budget do not require separate approval each time.

Expenses exceeding or falling outside an approved budget require additional written approval.

An expense incurred without the required approval will not automatically be reimbursed or deducted as an Additional Expense when calculating Net Profit.

6. Equipment and Capital Purchases

Equipment and other physical capital assets will **not** be treated as shared expenses or jointly owned property.

If Douglas Innovation purchases equipment, the equipment will be paid for using Douglas Innovation's funds and will remain the sole property of Douglas Innovation.

If Generative Systems purchases equipment using its own funds, the equipment will remain the sole property of Generative Systems.

There will be no jointly owned equipment and no requirement to divide equipment between the Parties upon termination or expiration of this Agreement.

Any equipment that Generative Systems requests Douglas Innovation to purchase must receive prior written approval from Douglas Innovation.

Equipment or capital purchases made by Douglas Innovation:

- Belong solely to Douglas Innovation;
- Are not jointly owned by Generative Systems; and
- Will **not** be deducted as an Additional Expense when calculating Polar Retail Net Profit.

7. Optional Activities

The Parties recognize that Generative Systems may wish to expand its involvement in Polar Filament over time.

The following activities are **permitted and encouraged but are not Core Responsibilities** under this Agreement:

- Managing or improving the Polar Filament Facebook presence;
- Creating or publishing content on Facebook;
- Managing or publishing content on Instagram;
- Managing or publishing content on TikTok;
- Producing additional social-media videos or content; and
- Similar social-media or promotional activities beyond the required customer-service and Shopify responsibilities.

Failure to perform these Optional Activities will not constitute failure to perform Generative Systems' Core Responsibilities and will not, by itself, constitute a breach of this Agreement.

8. Distributors, Retailers, Wholesale, and Business Development

Finding or onboarding new distributors, retailers, wholesale customers, or similar business relationships is **not a Core Responsibility** of Generative Systems under this Agreement.

Generative Systems is welcome and encouraged to identify potential opportunities, including major online or physical retailers.

However, revenue from distributors, wholesale customers, retailers, or similar channels is not included in the 50% Polar Retail profit-sharing arrangement unless expressly agreed otherwise in writing.

If Generative Systems assists in obtaining a new distributor, retailer, wholesale customer, or similar account, the Parties may negotiate separate compensation for that opportunity.

The Parties may establish a separate business-development or distributor compensation agreement in the future.

9. Excluded Sales Channels and Activities

Unless subsequently agreed in writing, the following are specifically excluded from this Agreement:

- Amazon sales;
- DigiKey sales;
- Existing or future wholesale sales;
- Distributor sales;
- White-label manufacturing;
- Toll manufacturing;
- Walk-in or storefront sales at Douglas Innovation facilities;
- 3D printing as a service;
- Other manufacturing services; and

- Other Douglas Innovation business activities not specifically included within Polar Retail.

Douglas Innovation will continue to manage Amazon and DigiKey during the term of this Agreement.

The Parties may subsequently negotiate the transfer of responsibility for Amazon, DigiKey, or other sales channels through a separate agreement or written amendment.

Revenue and expenses attributable to excluded channels are not included in the Polar Retail Net Profit calculation unless specifically provided otherwise in writing.

10. Physical Fulfillment

Douglas Innovation will remain responsible for physical fulfillment.

This includes:

- Manufacturing;
- Inventory management;
- Picking and packing orders;
- Shipping orders;
- Receiving returned merchandise; and
- Other physical warehouse and fulfillment activities.

Generative Systems' responsibilities under this Agreement are intended to be capable of being performed remotely.

Generative Systems will manage the customer-facing portion of returns and exchanges, while Douglas Innovation will perform the necessary physical fulfillment.

11. Polar Filament Phone and Out-of-Scope Inquiries

Generative Systems will manage incoming communications through the Polar Filament phone number as part of its Core Responsibilities.

The Parties acknowledge that the Polar Filament phone number is also currently used for **3D printing as a service** and may receive inquiries concerning other Douglas Innovation activities that are outside the scope of this Agreement.

When Generative Systems receives an inquiry regarding 3D printing services or another activity outside Polar Retail, Generative Systems' responsibility is limited to directing or forwarding that inquiry to the appropriate Douglas Innovation contact.

Generative Systems is not required under this Agreement to quote, sell, manage, fulfill, or otherwise service such work.

Revenue from such work is excluded from the Polar Retail profit-sharing calculation.

All out-of-scope leads, customers, and business opportunities received through the Polar Filament phone number remain business opportunities of Douglas Innovation and/or Polar Filament, as applicable.

Generative Systems may not divert, appropriate, solicit, or redirect such customers, leads, or opportunities to itself, an affiliated business, a competitor, or another third party without prior written authorization from Douglas Innovation.

This same principle applies to out-of-scope inquiries received through Polar Filament email, Discord, Shopify, social media, or other Polar Filament communication channels.

12. Net Profit Calculation

Generative Systems will receive **fifty percent (50%) of Polar Retail Net Profit** for each monthly accounting period.

For purposes of this Agreement:

Polar Retail Net Profit = Shopify Net Sales – Product Cost – Pirate Ship Shipping Costs – Shopify and Payment Processing Fees – Approved Additional Expenses

12.1 Shopify Net Sales

“Shopify Net Sales” means the **Net sales** amount reported by Shopify Analytics for the PolarFilament.com Shopify operation for the applicable accounting period.

The Parties intend to use the Shopify-reported Net Sales figure as the starting point for the calculation rather than independently reconstructing gross sales, discounts, refunds, or sales reversals.

Discounts, refunds, returns, and sales reversals already reflected in Shopify Net Sales will not be separately deducted again.

12.2 Customer-Paid Shipping

Shipping charges paid by customers are **not included** in the Polar Retail Net Profit calculation.

Customer-paid shipping will neither be added to Shopify Net Sales nor otherwise treated as revenue for purposes of determining the profit share.

Actual shipping expenses incurred through Pirate Ship will nevertheless be deducted as provided in Section 12.5.

12.3 Taxes

Sales taxes and similar taxes collected from customers are **not included** in the Polar Retail Net Profit calculation.

Taxes will neither be treated as Polar Retail revenue nor separately deducted from Net Profit when they are already excluded from the Shopify Net Sales figure.

12.4 Product Cost

Product Cost will be calculated using Polar Manufacturing’s standard wholesale price for the applicable product.

The wholesale price used will be the standard price established by Polar Manufacturing and generally offered to its wholesalers and distributors.

As of the Effective Date, the standard wholesale cost for **PLA and PETG is \$17.50 per spool**.

Costs for other materials and products will be determined using Polar Manufacturing’s applicable standard wholesale pricing.

Changes to Polar Manufacturing’s bona fide standard wholesale pricing may therefore affect future Product Cost calculations.

12.5 Pirate Ship Shipping Costs

Shipping expense will be calculated using the **total Pirate Ship expenditure for the applicable monthly accounting period**.

The Parties acknowledge that Pirate Ship is used overwhelmingly for Polar Retail shipments but may occasionally include negligible unrelated shipping expenditures.

For administrative simplicity, the Parties expressly agree that the entire Pirate Ship monthly expenditure will nevertheless be used without requiring shipment-by-shipment reconciliation.

12.6 Shopify and Payment Processing Fees

Actual Shopify fees and payment-processing fees attributable to the covered Shopify operation will be deducted based upon the amounts reported by Shopify and/or the applicable payment processor.

12.7 Additional Expenses

Only Additional Expenses approved pursuant to Section 5 will be deducted when calculating Net Profit.

Equipment and capital purchases are governed separately by Section 6 and will not be deducted from Net Profit.

13. Monthly Accounting and Payment

Each calendar month will constitute a separate accounting period, beginning on the first day of the month and ending on the final day of that month.

After the end of each accounting period, the applicable Shopify Net Sales, Product Cost, Pirate Ship Shipping Costs, Shopify and Payment Processing Fees, and Approved Additional Expenses will be calculated in accordance with Section 12.

Generative Systems will be entitled to **50% of the resulting positive Net Profit**.

Payment will be made monthly following completion of the applicable monthly accounting.

The Parties will maintain reasonable records supporting the calculation.

14. Ordinary Operating Losses

Generative Systems participates in profits but is **not responsible for funding or reimbursing ordinary operating losses**.

If Polar Retail Net Profit for a monthly accounting period is zero or negative:

1. Generative Systems receives no profit-sharing payment for that month;
2. Generative Systems does not owe Douglas Innovation money merely because Polar Retail generated an ordinary operating loss; and
3. The loss does **not** carry forward into any subsequent accounting period.

Each month stands independently.

This protection applies only to **ordinary operating losses**. It does not excuse either Party from liability for damages, costs, expenses, third-party claims, or other obligations resulting from that Party's breach of this Agreement, unauthorized actions, negligence, fraud, willful misconduct, misuse of Confidential Information or customer data, indemnification obligations, or other liabilities expressly allocated under this Agreement.

A negative month may also give Douglas Innovation the termination rights described in Section 21.

15. Confidentiality

Generative Systems will receive access to confidential and commercially sensitive Douglas Innovation and Polar Filament information.

Confidential Information includes, without limitation:

- Customer lists;
- Customer identities and contact information;
- Wholesale customer information;
- Distributor information;
- Customer purchasing history;
- Wholesale and distributor pricing;
- Internal pricing information;
- Data sheets;
- Product information not publicly available;
- Internal business processes;
- Sales information;
- Business strategies;
- Operational information;
- Login credentials;
- Customer communications; and
- Other non-public information concerning Douglas Innovation or Polar Filament.

Generative Systems may use Confidential Information only as reasonably necessary to perform its obligations under this Agreement.

Generative Systems may not disclose Confidential Information to competitors or other third parties except as authorized by Douglas Innovation or as legally required.

Access to Confidential Information does not grant Generative Systems any ownership rights in that information.

A material breach of these confidentiality obligations constitutes grounds for immediate termination and may also result in liability under Section 18.

16. Customer and Lead Protection

Customer lists, customer relationships, leads, and business opportunities obtained through access granted under this Agreement remain associated with Douglas Innovation and/or Polar Filament, as applicable.

Generative Systems may not use confidential customer information obtained through this relationship to divert Polar Filament or Douglas Innovation customers to itself, its affiliates, competitors, or third parties.

Upon expiration or termination, Generative Systems will not retain or use Douglas Innovation's confidential customer lists, pricing information, or other Confidential Information to solicit or divert those customers.

Nothing in this section grants Generative Systems ownership of Polar Filament's customer relationships merely because Generative Systems communicated with or serviced those customers during the term.

17. Accounts, Data, and Business Assets

All Polar Filament accounts, customer records, website data, Shopify information, business records, and other company data remain the property of Douglas Innovation and/or Polar Filament, as applicable.

Generative Systems' access to such systems is provided solely for performance of this Agreement.

Upon expiration or termination, Generative Systems will reasonably cooperate in transferring operational control back to Douglas Innovation or to a successor designated by Douglas Innovation.

Generative Systems will return or relinquish company credentials, records, customer communications, and other company information in its possession or control and will not intentionally interfere with Douglas Innovation's continued operation of Polar Retail.

18. Liability and Indemnification

18.1 Allocation of Operational Responsibility

Each Party will generally be responsible for the activities within its control and for losses, claims, and liabilities caused by its own acts or omissions.

Douglas Innovation will be responsible for claims, losses, damages, and expenses arising from manufacturing, inventory, physical fulfillment, packaging, shipping, receiving, and other physical operations performed or controlled by Douglas Innovation, except to the extent caused by an act or omission of Generative Systems.

Generative Systems will be responsible for claims, losses, damages, and expenses arising from the services it performs or controls under this Agreement, including website administration, advertising and promotional activities, customer communications, handling of customer information, and other actions within its control, except to the extent caused by an act or omission of Douglas Innovation.

18.2 Generative Systems Service Risks

Generative Systems will be responsible for direct damages reasonably resulting from its:

- Material breach of this Agreement;
- Unauthorized commitments, representations, warranties, promises, or other actions taken on behalf of Douglas Innovation outside the authority granted by this Agreement;
- Misuse or unauthorized disclosure of customer information or Confidential Information;
- Violation of applicable platform rules caused by its actions;
- Use or publication of advertising, photographs, text, video, music, trademarks, or other promotional content that Generative Systems did not have the legal right to use;
- Negligence;
- Gross negligence;
- Fraud;
- Willful misconduct; or
- Intentional violation of applicable law.

Nothing in Section 14's ordinary operating-loss protection limits these responsibilities.

18.3 Douglas Innovation Operational Risks

Douglas Innovation will be responsible for direct damages reasonably resulting from its:

- Material breach of this Agreement;
- Manufacturing defects or manufacturing activities within its control;
- Physical fulfillment activities within its control;
- Unauthorized or unlawful use of materials supplied by Douglas Innovation;
- Negligence;
- Gross negligence;
- Fraud;
- Willful misconduct; or
- Intentional violation of applicable law.

18.4 Third-Party Claims and Indemnification

Each Party will indemnify, defend, and hold harmless the other Party and its officers, employees, and agents from third-party claims, damages, liabilities, judgments, and reasonable attorneys' fees to the extent arising from:

1. The indemnifying Party's material breach of this Agreement;
2. The indemnifying Party's negligence or willful misconduct;
3. The indemnifying Party's violation of applicable law; or
4. Activities or responsibilities specifically allocated to the indemnifying Party under this Agreement.

The Party seeking indemnification will promptly notify the other Party of a covered claim and reasonably cooperate in its defense.

The indemnifying Party may control the defense and settlement of the claim, provided that it may not enter into a settlement that admits wrongdoing by, imposes obligations upon, or requires payment from the indemnified Party without that Party's written consent.

18.5 Intellectual Property and Promotional Content

Generative Systems will use commercially reasonable efforts to ensure that promotional materials it independently creates, selects, or publishes do not infringe the intellectual property rights of third parties.

Generative Systems will be responsible for third-party intellectual property claims arising from materials independently selected, created, or introduced by Generative Systems, except to the extent that the allegedly infringing material was supplied by or specifically directed for use by Douglas Innovation.

Douglas Innovation will be responsible for third-party intellectual property claims arising from trademarks, photographs, product materials, technical information, or other materials supplied by Douglas Innovation for Generative Systems' authorized use, except to the extent that Generative Systems materially modifies or uses those materials outside the authorization provided.

18.6 Limitation of Certain Damages

Except for fraud, willful misconduct, breach of confidentiality, misuse of customer data, intellectual property infringement, indemnification obligations, or amounts expressly payable under this Agreement, neither Party will be liable to the other for incidental, special, punitive, or consequential damages, including speculative lost profits.

19. Term

This Agreement begins on **October 1, 2026** and continues through **December 31, 2026**, unless terminated earlier pursuant to Section 21.

The Agreement does not automatically renew unless the Parties agree otherwise in writing.

The Parties anticipate reviewing the arrangement during or following the initial term and may negotiate a renewal, extension, amendment, or replacement agreement.

The Parties may modify the profit calculation, responsibilities, covered sales channels, product costs, compensation, or other terms as part of any subsequent agreement.

20. Equipment Ownership Upon Termination

Because equipment is not jointly owned under this Agreement, expiration or termination does not require an allocation or division of equipment between the Parties.

Equipment owned by Douglas Innovation will remain the property of Douglas Innovation.

Equipment owned by Generative Systems will remain the property of Generative Systems.

Each Party will return any equipment or other physical property belonging to the other Party that is in its possession upon termination or expiration.

21. Termination

21.1 Termination Without Cause

Either Party may terminate this Agreement **without cause** by providing at least **thirty (30) days' written notice** to the other Party.

During the notice period, both Parties will continue to perform their obligations under this Agreement in good faith and will reasonably cooperate in providing an orderly transition.

21.2 Termination for Cause

Either Party may terminate this Agreement for a material breach by the other Party.

Grounds for termination by Douglas Innovation may include, without limitation:

- Material failure by Generative Systems to perform its Core Responsibilities;
- Material misuse of customer or company data;
- Material breach of confidentiality;
- Diversion or attempted diversion of Douglas Innovation or Polar Filament customers, leads, or business opportunities;
- Unauthorized spending or commitments made on behalf of Douglas Innovation;
- Fraud, intentional misconduct, or misuse of company systems; or
- Another material breach of this Agreement.

Where a breach is reasonably capable of being corrected, the non-breaching Party will provide written notice of the breach and a reasonable opportunity to cure it.

Breaches involving intentional misuse of Confidential Information, intentional customer diversion, fraud, theft, or similarly serious misconduct may result in immediate termination without a cure period.

21.3 Negative Monthly Performance

If Polar Retail produces a negative Net Profit for any monthly accounting period, Douglas Innovation may elect to terminate this Agreement immediately upon written notice.

Generative Systems will not be liable for that ordinary operating loss merely because the monthly Net Profit was negative, subject to Sections 14 and 18.

21.4 Transition Obligations

Upon notice of termination or expiration of this Agreement, Generative Systems will reasonably cooperate with Douglas Innovation to transition Polar Retail operations.

This includes, as applicable:

- Returning or relinquishing account access;
- Providing current customer-service information;
- Transferring relevant communications and operational information;
- Providing access to creative or promotional materials owned by Douglas Innovation;
- Assisting with transfer of website and customer-service responsibilities; and
- Avoiding unreasonable disruption to ongoing customer service during the transition period.

21.5 Final Accounting

Following expiration or termination, the Parties will perform a final accounting for the applicable period and pay any profit share properly due to Generative Systems.

Expiration or termination does not eliminate obligations intended to survive termination, including confidentiality, customer and lead protection, protection of company data, liability and indemnification obligations arising from conduct occurring during the Agreement, final accounting, and return of company property.

22. Right of First Refusal

If Douglas Innovation decides to sell **Polar Filament** to a third party during the term of this Agreement, Generative Systems will have a **right of first refusal** with respect to the proposed sale.

Before completing such a sale to a third party, Douglas Innovation will provide Generative Systems with written notice of the proposed material terms and a reasonable opportunity to purchase Polar Filament on substantially equivalent terms.

If Generative Systems declines the opportunity or does not exercise the right within the applicable response period established in the notice, Douglas Innovation may proceed with the proposed third-party transaction.

This provision:

- Applies to Polar Filament and does not grant Generative Systems rights to purchase Douglas Innovation as a whole or its unrelated operations;
- Does not obligate Douglas Innovation to sell Polar Filament;
- Does not grant Generative Systems any present ownership interest in Polar Filament; and
- Does not prevent Douglas Innovation from continuing to own and operate Polar Filament.

23. Changes to This Agreement

Any material amendment to this Agreement must be agreed to in writing by both Parties.

Written approvals contemplated by this Agreement, including approval of Additional Expenses, budgets, equipment purchases, or specific operational matters, may be made by email or another mutually accepted written communication and do not require a formal amendment unless the Parties choose otherwise.

24. Entire Agreement

This Agreement represents the Parties' understanding concerning the Polar Retail management and profit-sharing arrangement described herein.

Separate compensation arrangements, including compensation for distributor acquisition, wholesale development, Amazon, DigiKey, or other activities outside Polar Retail, may be established separately and will not alter this Agreement unless expressly incorporated through a written amendment.

25. Signatures

By signing below, each Party acknowledges that it has reviewed and agrees to the terms of this Agreement.

Douglas Innovation LLC

By: _____

Name: _____

Title: _____

Date: _____

Generative Systems LLC

By: _____

Name: _____

Title: _____

Date: _____